

Journal of Financial Crises

Volume 8 | Issue 1

2026

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Recommended Citation

Hoffner, Benjamin (2026) "Lessons Learned: Eugen Rădulescu," *Journal of Financial Crises*: Vol. 8 : Iss. 1, 59-64.

DOI: <https://doi.org/10.17132/2693-3179.1681>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol8/iss1/4>

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Yale Program on Financial Stability

Lessons Learned

Eugen Rădulescu

By Benjamin Hoffner

Eugen Rădulescu has worked at the National Bank of Romania (NBR) since 1990 in various roles covering monetary policy, foreign exchange, and supervision. During his tenure, he contributed to the NBR's work to fortify Romanian's post-communist banking laws and the operational structure of its financial system to bring it up to the European standard, enabling Romania to join the European Union (EU) in 2007. Following the Global Financial Crisis of 2007–09 (GFC), Rădulescu was named director of the NBR's Financial Stability Department and has served in this role until June 2023, when he became senior adviser to the governor of the NBR. This Lessons Learned summary is based on an interview conducted by the Yale Program on Financial Stability in December 2022; the full transcript may be found [here](#).

Acting swiftly and preemptively at the early signs of a crisis can help minimize direct and indirect impacts as the crisis develops.

Rădulescu reflected on Romania's experience during the GFC and its aftermath, drawing on over three decades of institutional evolution at the NBR. A key lesson Rădulescu emphasized was the need for timely and proactive crisis engagement. Romania did not face a classic banking panic or the collapse of toxic asset holdings during the height of the crisis, but it was hit hard by second-order effects of the GFC. Demand from Western Europe collapsed, domestic wages fell, unemployment rose, and real sector vulnerabilities quickly translated into financial distress.

In response, Romanian authorities moved rapidly to secure external support and coordinate a credible stabilization framework. Rădulescu described the Vienna Initiative—an unprecedented public-private crisis coordination effort across Central and Eastern Europe—as essential to forestalling a deeper financial collapse. Under the initiative, Romania negotiated with the nine largest foreign-owned banks operating in the country. “What we did was have an agreement with the first nine banks in Romania . . . that they will not withdraw their capital lower than the level in March 2009,” he explained.

The agreement included the International Monetary Fund (IMF), European Commission (EC), European Central Bank (ECB), and private institutions, and created space for market stabilization. It was backed by a EUR 20 billion support package with contributions from the IMF, World Bank, and European Investment Bank. This package, Rădulescu emphasized, did not involve bank bailouts but bolstered confidence by signaling Romania's commitment to a credible policy program.

The international reserves, which were held at the central bank as part of the agreement, had a calming effect on markets, said Rădulescu.

It was important because it bought confidence. Once we had this amount in our reserves, and also the seal of approval that our policies were the right ones, the

financial market calmed down, and it was possible for us to finance the needs for the deficits, both the government deficit and the current account deficit.

He framed the move as preemptive, underscoring that the agreement was made before full-scale panic took hold in domestic financial markets.

Rădulescu contrasted this approach to more reactive strategies taken in other countries, noting that securing early international cooperation and implementing credible domestic measures were key to Romania's relative stability. "We were able to act preemptively . . . not in the sense that we acted before September 15, 2008, and Lehman Brothers, but before the crisis reached our system full force."

The Vienna Initiative also reflected lessons from previous crises, including the transition shocks that had exposed Romania's financial fragility in the 1990s. Having experienced bouts of triple-digit inflation and structural reforms with minimal investor confidence, Romanian authorities were acutely aware of the costs of delay. By 2009, this historical memory shaped a consensus to act early and avoid a drawn-out liquidity crunch or capital flight.

The strategic coordination of the Vienna Initiative helped Romania avoid the fate of other emerging markets that saw large-scale capital withdrawals or sovereign distress. While nonperforming loans rose sharply, systemic collapse was avoided, and bank recapitalization proceeded without direct government injections. For Rădulescu, the lesson was clear: preemptive engagement—especially with external partners when needed—can prevent a crisis from spiraling.

Maintaining a well-capitalized banking sector and appropriate provisioning for loans can buffer the initial effects of a crisis and also will enable a more resilient recovery.

A second key lesson drawn by Rădulescu from Romania's GFC experience is the critical role of strong bank capitalization—both as a buffer in the face of crisis and as a foundation for credible, market-driven recovery. Although Romania avoided direct exposure to subprime assets and complex securitizations, its banks were nonetheless vulnerable owing to a rapid expansion of credit in the precrisis years fueled by foreign capital inflows and growing household indebtedness.

Between 2000 and 2007, Romanian banks increased lending at a pace far outstripping domestic deposit growth. The loan-to-deposit ratio climbed from approximately 70% to 120%, with most of the excess funded through external borrowing from parent institutions in Western Europe. As real sector conditions deteriorated in 2009, this dynamic left Romanian banks exposed to rising defaults, and by 2011, the proportion of nonperforming loans had reached a staggering 23%.

Despite the scale of the NPL problem, Romania stood out in the region for avoiding public recapitalization of its banks. Instead, as Rădulescu explained, the central bank required banks and their parent companies to take responsibility for recognizing losses and rebuilding capital buffers through internal measures. This process began with a thorough reassessment of collateral values—many of which had fallen sharply, particularly in real

estate. Some land values outside city centers had declined by as much as 80%. Rădulescu elaborated on the steps in the process:

First, it was to evaluate what is the actual value of their collateral and then to provision everything which was not provisioned. And in a few years, the banks started to increase their capital in order to keep their capital requirements in line with our regulation. We were one of the five countries in the whole European Union where an intervention of the government was not necessary. So, there was no financing of the financial system with the intervention of the government.

The NBR supervised these efforts closely, relying on auditors from major international firms to verify data and ensure consistency.

To enforce discipline and ensure progress, the central bank also introduced a novel macroprudential rule—a systemic risk buffer targeted specifically at the NPL problem. Banks were required to keep nonperforming loans below 5% of total loans and provisioning rates above 60%. Institutions failing to meet either target faced an additional 1% capital buffer requirement. This policy created strong incentives for banks to clean up their balance sheets and align with prudential norms without resorting to public funds, Rădulescu explained. This approach was seen as fair and efficient, rewarding progress while imposing costs on laggards. Over time, the policy contributed to a steady decline in NPLs and restored market confidence in the banking system's solvency.

Rădulescu emphasized that Romania's ability to resolve a severe banking sector shock without fiscal transfers was a point of national credibility. While some critics noted that banks paid no profit taxes for seven years during the recapitalization period, the central bank viewed this as an acceptable trade-off for long-term stability: "Well, yes, but they covered their own losses without an intervention of the government."

This hard-earned resilience became evident during the COVID-19 crisis. Romanian banks, with stronger capital buffers and more conservative lending profiles, weathered the downturn without a comparable surge in defaults. In Rădulescu's view, the investments in recapitalization and provisioning during the GFC had positioned the financial system to function as a stabilizer rather than a transmission channel for risk.

Effective crisis prevention requires regulatory innovation, the recognition of emerging risks, and the persistence to defend sound policy despite skepticism.

The third major lesson Rădulescu identified was the importance of both regulatory innovation and designing solutions that fit the domestic economy. He illustrated his point by describing the central bank's early integration of macroprudential stability with microprudential controls tailored to borrower behavior. While macro-level capital buffers and supervision are necessary, said Rădulescu, Romania's experience demonstrated that more was needed, as unchecked household borrowing and foreign currency exposure had created significant vulnerabilities in the country's rapidly developing banking sector.

As early as 2004, Rădulescu said, the National Bank of Romania recognized these risks and began implementing a set of borrower-focused prudential measures—particularly debt-service-to-income (DSTI) ratios and loan-to-value (LTV) limits. These tools were intended to rein in high levels of household indebtedness and curb speculative credit growth as Romania's financial system expanded amid strong capital inflows and rising wages. At the time, some Romanian households were taking on monthly loan payments that exceeded their entire income, exposing the system to significant default risk.

The central bank's early adoption of these tools proved timely. Between 2004 and 2007, the financial system grew by 50 to 60% annually, driven in part by liberal credit conditions. Concerned that such rapid expansion could lead to a domestic crisis—even independent of global developments—Rădulescu and his team moved to cool credit markets through these borrower-level constraints.

However, upon Romania's accession to the European Union in 2007, these prudential measures encountered institutional resistance. EU officials classified DSTI and LTV requirements as administrative controls, relayed Rădulescu.

And as long as they were administrative, they were labeled as germinating risks for capital inflows, so we had to remove them and leave the market to regulate that. And you know that the market, particularly a young market, does not do very well in those things.

Under EU pressure, Romania was required to roll back these regulatory tools, removing a key line of defense against excessive household leverage. Rădulescu expressed frustration at this reversal, noting that the young Romanian market lacked the maturity to self-regulate effectively. As credit growth continued unchecked and foreign-currency loans became increasingly common, the seeds were planted for future stress once external conditions worsened.

The GFC vindicated Romania's earlier concerns. Within a few years, the EU reconsidered its stance, reclassifying DSTI and LTV measures as permitted microprudential tools rather than administrative controls. These instruments were subsequently adopted across Europe and are now part of the standard macroprudential toolkit.

Romania reintroduced these tools in a simplified and formalized structure. By 2019, DSTI thresholds were set at 40% for both domestic-currency loans and foreign-currency loans where the borrower had a natural hedge (that is, income in the same currency). For foreign-currency loans without a natural hedge, the DSTI was limited to 20%.

The reintroduction of DSTI and LTV limits reflects a broader lesson about institutional patience and the value of early action, reflected Rădulescu. Though temporarily discarded under external pressure, their eventual restoration confirmed the utility of micro-level borrower constraints—especially in environments with high credit growth and limited financial literacy. These measures helped prevent another wave of risky household borrowing ahead of the COVID-19 crisis.

“People usually used to have too rosy expectations,” Rădulescu explained. The reimposed borrower-based limits helped focus borrowers and banks on more conservative lending practices. He continued:

And we entered the crisis in 2019 with this limitation in place. Therefore, even if we had several troubles associated with the COVID crisis, they were incomparable with the troubles that occurred in 2008–09 to the extent that the trend of declining nonperforming loans in the banking sector continued throughout this period.

Eventually Romania’s level of NPLs fell below 3%—well within green-zone thresholds under the European Systemic Risk Board (ESRB) framework.

This evolution, from early adoption to forced rollback and eventual European standardization, illustrates the benefit of regulatory flexibility and long-term commitment to borrower-based safeguards. For Rădulescu, the lesson is not just about specific instruments, but about the ability to recognize emerging risks and the persistence to implement sound but innovative policy even in the face of skepticism.

There is great value in taking a long-term view to build financial system stability and resilience suited to the domestic environment, especially for emerging markets, even in the face of short-term setbacks and skepticism.

Romania’s financial system has undergone a dramatic transformation since the early 1990s. From the outset of post-communist transition, the country faced significant structural challenges—a shallow financial sector, inflationary pressures, and minimal institutional capacity. Yet by the time of the GFC, Romania had established a credible, independent central bank, a two-tier banking system, and a growing economy with increasing international integration. This institutional groundwork allowed Romania to respond to the crisis not with panic, but with a set of measured, targeted interventions shaped by experience and foresight.

What stands out in Rădulescu’s retelling is the consistency of Romania’s crisis response with its long-run strategy for financial stability. Rather than rely on emergency bailouts or ad hoc legislative fixes, Romania used the GFC as an opportunity to validate and reinforce its prudential framework. The Vienna Initiative demonstrated how international cooperation could be used to support domestic stability without imposing unsustainable conditionality or undermining local control.

By 2022, Romania had one of the lowest NPL ratios in Europe and maintained international reserves above EUR 40 billion, underscoring the durability of its financial sector reforms. The COVID-19 pandemic and Russia’s invasion of Ukraine created new macroeconomic shocks, including elevated inflation and widening deficits. But unlike in 2008, the banking system was not part of the problem—instead, as Rădulescu emphasized, it became part of the solution.

Romania’s experience offers a clear set of takeaways for other emerging markets. The highlighted principles, which formed the basis of Romania’s crisis-era responses, helped strengthen the resilience of the country’s financial system and better prepare it to withstand

subsequent challenges, including the COVID-19 pandemic. Further, for Rădulescu, the long arc of Romanian financial reform bends not just toward compliance with international norms, but toward sustainable stability rooted in domestic credibility and regulatory foresight.

Dated: March 2026

YPFS Lessons Learned No. 2022–23